

Nokia

NOKIA.HE • NASDAQ Helsinki • Communication Equipment • Finland

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

13.90 EUR

as of report date

TARGET PRICE

11.50 EUR

12-month fundamental

IMPLIED UPSIDE

-17.2%

vs. current price

MARKET CAP

EUR 76 bn

shares × price

ENTERPRISE VALUE

EUR 74.7 bn

mcap + net debt

P/E 2026E

43.6×

EV/EBITDA 2026E

19.7×

FCF YIELD 2026E

3.2%

DIVIDEND YIELD
2026E

2.1%

NET DEBT / EBITDA
2026E

-0.4×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 11.50 EUR 12-month fundamental	CURRENT PRICE 13.90 EUR as of report date	IMPLIED UPSIDE -17.2% vs. current price
MARKET CAP EUR 76 bn shares × price	ENTERPRISE VALUE EUR 74.7 bn mcap + net debt	P/E · EV/EBITDA 2026E 43.6x · 19.7x forward forecast basis	FCF · DIV YIELD 2026E 3.2% · 2.1%



01 Optical Networking Overvaluation

Nokia commands a massive EUR 74.7 billion enterprise value, driven heavily by its optical networking segment trading at an aggressive 49x multiple on just EUR 725 million in estimated earnings.

49x EV/EBIT

02 Stagnant Mobile Infrastructure

While mobile infrastructure provides a defensive EUR 1.73 billion in operating profit, traditional hardware deployment volumes remain stagnant, forcing the optical division to close a EUR 1.0 billion earnings shortfall.

1.0bn EUR shortfall

03 Gross Margin Compression Risk

If alternative sourcing pressures gross margins, the aggressive optical multiple will contract violently to a mature 20x hardware average, potentially erasing EUR 20.5 billion in total enterprise value.

-20.5bn EUR EV

THESIS BREAKER

Flawless execution and massive scale in 800G and 1.6T coherent pluggables inside US hyperscalers drive sustained high-margin growth.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.



VALUE BREAKDOWN · PART 1

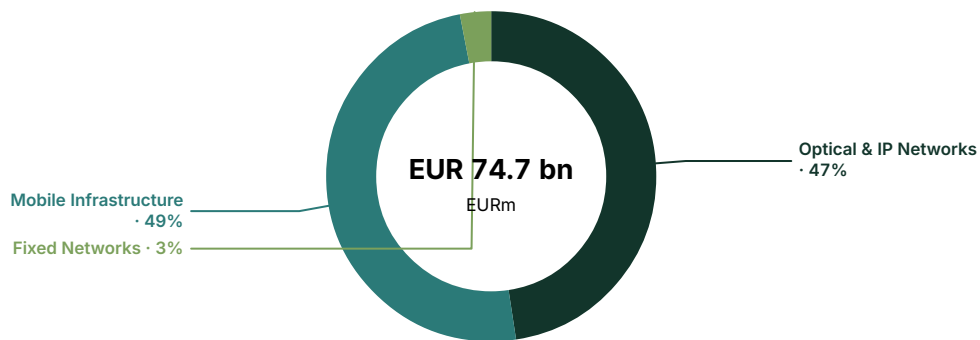
Enterprise - value allocation by value pool

04

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.

Enterprise value by pool

EUR millions



SEGMENT ECONOMICS

	REVENUE	REV %	COMP. EBIT	EBIT %	EV	EV %	ARCHETYPE
Optical & IP Networks	5,800	27.8%	725	30.6%	35,500	47.5%	Scaling
Mobile Infrastructure	11,896	57.1%	1,728	72.8%	36,839	49.3%	Profit engine
Fixed Networks	2,200	10.6%	169	7.1%	2,400	3.2%	Declining
Portfolio Businesses	917	4.4%	-100	-4.2%	0	0.0%	Restructuring
Group Common & Other	20	0.1%	-150	-6.3%	0	0.0%	Mixed

VALUE BREAKDOWN · PART 2

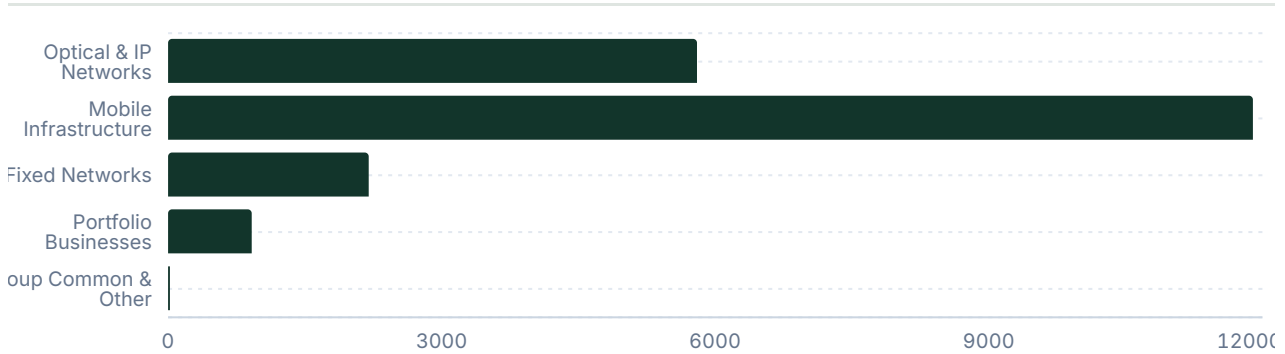
05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.

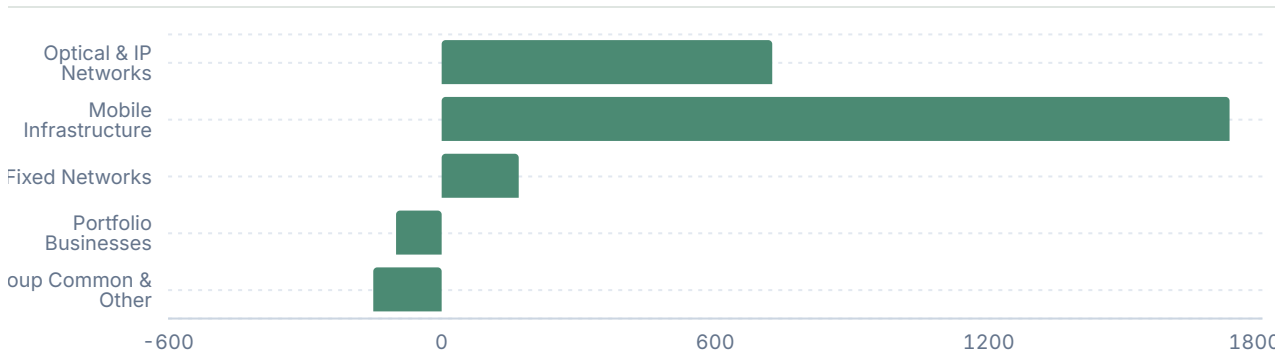
Net sales by pool

EUR millions, latest reported



Comparable EBIT by pool

EUR millions, latest reported



INTERPRETATION

Nokia's enterprise value is sharply bifurcated. Nearly half of group EV (EUR 35.5B) is allocated to Optical & IP Networks at an aggressive ~49x EBIT multiple, driven by speculative AI datacenter optionality. Meanwhile, the legacy Mobile Infrastructure segment generates almost 73% of total operating profit but is priced strictly as a mature cash cow to fund the group's R&D transition.

RECOMMENDATION

06

Why we land on the call we do

The supporting prose, the rating decision, and the three load-bearing reasons.

At 13.90 euros, the stock's valuation assumes flawless execution with zero margin for error. That extreme pricing supports a SELL rating and an 11.50 euro target price, implying roughly 17 percent downside over the next 9 months.

Nokia's EUR 74.7 billion enterprise value (31.5x 2026E EBIT) depends wholly on its transition to an artificial intelligence networking provider. The valuation is sharply bifurcated: Optical & IP Networks commands EUR 35.5 billion at a 49x EV/EBIT multiple, even though it generates just EUR 725 million of 2026E EBIT.

Two distinct pools drive the economics. Optical & IP must capture massive cloud networking volumes to cover heavy R&D costs. Mobile Infrastructure provides base scale with EUR 11.9 billion in 2026E sales, using flat hardware deployment volumes to sustain EUR 1.5 billion in fixed-price intellectual property licensing revenue at a 70% operating margin. If alternative sourcing pressures gross margins, the aggressive optical multiple will contract violently to a mature 20x hardware average, potentially erasing EUR 20.5 billion in total enterprise value and driving shares to EUR 9.92.

SELL

TARGET PRICE

11.50 EUR

CURRENT PRICE

13.90 EUR

IMPLIED UPSIDE

-17.2%

12-MONTH VIEW

The current valuation assumes flawless execution in the hyperscaler optical market, leaving no margin for error.

MAIN DRIVER

Extreme EV multiple on Optical & IP

MAIN RISK

Commoditization of 800G coherent pluggables

01 Optical Networking Overvaluation

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1.0bn EUR shortfall

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-20.5bn EUR EV

THESIS BREAKER

Flawless execution and massive scale in 800G and 1.6T coherent pluggables inside US hyperscalers drive sustained high-margin growth.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

Nokia operates a highly bifurcated economic model: the source of operating profit diverges sharply from the source of enterprise value. The Mobile Infrastructure segment generates roughly 73% of estimated 2026 group EBIT, the vast majority of current economic output. Despite that profit contribution, Mobile Infrastructure commands less than half of the group's EUR 74.7 billion enterprise value. The market prices this segment as a mature cash cow, heavily discounting the cyclical, stagnating nature of global 5G hardware deployments.

In stark contrast, enterprise value is heavily skewed toward the Optical & IP Networks segment, which generates only 28% of group revenue and 31% of EBIT. Valued at EUR 35.5 billion, this segment accounts for 47.5% of Nokia's enterprise value. That allocation reflects a fundamental institutional pivot that took place between late 2024 and mid-2026 after the EUR 2.3 billion Infinera acquisition. Fueled by soaring hyperscaler capex for AI data center infrastructure, the market has re-rated this segment as a high-growth technology asset, rather than a traditional telecom hardware supplier.

Group enterprise value bridges to equity market capitalization through a highly supportive balance sheet. The EUR 74,739 million enterprise value translates to a EUR 75,950 million market cap due to a EUR 1,527 million net cash position, partially offset by EUR 316 million in other senior claims. Since the valuation relies entirely on sustaining the high multiple assigned to Optical & IP Networks, the core analysis must ask whether Nokia can genuinely capture and defend its position in the hyperscaler data center routing market against formidable pure-play incumbents.

ANALYTICAL ANCHOR

Group enterprise value is heavily skewed toward the Optical & IP Networks segment, requiring execution perfection in the hyperscaler routing market.

08

Optical & IP Networks

Pool deep dive — scaling_current_business.

The market values Optical & IP Networks as Nokia's primary long-term growth engine, entirely divorcing it from the sluggish capex cycles of traditional telecom operators. Historically, Nokia sold its optical and routing hardware to telecom service providers for national backbones, a market characterized by intense price competition and slow replacement cycles. The emergence of generative AI has forced hyperscalers such as Alphabet, Microsoft, and Meta to fundamentally redesign data center architectures to support massive GPU clusters.

Institutional investors are pricing in the success of Nokia's integration of Infinera, an acquisition closed in early 2025. By assigning this segment roughly 49x EBIT, the market assumes Nokia will consistently win share in the rapidly expanding 800G and 1.6T coherent pluggable market, shifting its revenue mix from low-margin telecom hardware to high-margin data center infrastructure components. The valuation requires this segment to deliver rapid revenue growth and simultaneous margin expansion from product mix and operating leverage.

The competitive landscape in data center routing and optical transport is intensely consolidated among a few high-capability vendors such as Ciena and Arista Networks. Nokia's competitive position depends on its ability to bridge the gap between optical transport and IP routing. Its primary economic moat stems from vertical integration: by owning both the DSP design and the indium phosphide optical fabrication facilities, Nokia can optimize the cost structure of its coherent pluggables better than competitors that rely purely on third-party merchant silicon.

The economics bridge requires Nokia to grow Optical & IP Networks revenue from EUR 5.8 billion to roughly EUR 9.0 billion over the next 3 to 5 years, while expanding EBIT margins from 12.5% to approximately 19%. The total EUR 35.5 billion enterprise value aggressively prices in the success of the Infinera acquisition, rapid adoption of coherent pluggables, and deep penetration into hyperscaler network switching. The valuation depends strictly on future growth, leaving very little room for execution error.

OPTICAL & IP NETWORKS
FACT SHEET

SCALING_CURRENT_BUSINESS

EBIT MARGIN
12.5%

IMPLIED EV/EBIT
49.0x

REQUIRED SCALE-UP REV
EUR 8.5B - 9.5B

KEY MARKET
AI Data Center Interconnect

STRATEGIC EDGE
Infinera integration

08

Mobile Infrastructure

Pool deep dive — current_profit_engine.

The market values Mobile Infrastructure as a cash-generating engine that funds the group's expansion into higher-growth data center markets. The relatively modest 21x EBIT multiple reflects deep skepticism about the future of traditional 5G telecom capex. Mobile network operators globally are heavily indebted and have largely completed their primary 5G mid-band rollouts, leaving base station and antenna orders flat to declining.

However, the segment's profitability is heavily disguised by the inclusion of Nokia's intellectual property licensing business. The Technology Standards division monetizes Nokia's vast patent library, historically generating around EUR 1.5 billion in annual revenue with operating margins frequently exceeding 70%. The market values this sub-component as a highly predictable annuity stream, underpinned by multi-year licensing agreements with major smartphone OEMs such as Apple and Samsung.

Mobile Infrastructure's primary economic moat lies in high switching costs and the massive scale needed to fund 3GPP standards research. Telecom operators rarely rip and replace existing vendor infrastructure given the operational risk and capital intensity. This creates a highly sticky installed base, generating recurring revenue from software maintenance and core upgrades. The most unassailable moat, however, is the patent portfolio: because Nokia is a primary contributor to global 5G standards, any device connecting to a cellular network must use its patented technology.

The hardware division operates on a traditional industrial manufacturing model: massive fixed R&D expenses must be absorbed by high-volume base station deployments. In contrast, the IP licensing unit operates with software-like economics. The blended segment EBIT margin of 14.5% is therefore a mathematical artifact of combining a ~4% hardware operating margin with a ~70% licensing margin. To sustain its economic output, Nokia must maintain a steady baseline of hardware sales to absorb corporate overhead.

MOBILE INFRASTRUCTURE FACT SHEET

CURRENT_PROFIT_ENGINE

EBIT MARGIN
14.5%

IMPLIED EV/EBIT
21.3x

IP LICENSING REVENUE
~EUR 1.5B

IP LICENSING MARGIN
>70%

HARDWARE DEMAND
Stagnant (Flat 5G)

08

Fixed Networks

Pool deep dive — defensive_or_declining_cash_flow.

The market assigns a low multiple (~14x EBIT) to Fixed Networks because the segment is experiencing year-over-year revenue contraction after the massive pull-forward of fiber deployments during the pandemic. It still holds value, though, because of sticky customer relationships and recurring maintenance revenues attached to broadband network gateways and optical line terminals.

Demand is driven by residential and enterprise broadband infrastructure buildouts. While organic operator investment is currently muted, government subsidy programs—particularly the USD 42.45 billion BEAD program in the United States—provide a visible, long-duration pipeline of capital. Because these subsidies often require domestic manufacturing, Nokia's decision to build US-compliant production facilities gives it a strong structural advantage.

Nokia holds a dominant global position in passive optical networking (PON) equipment outside of China. The unit economics rely on high-volume hardware sales followed by margin-rich software and service attach rates. To justify the EUR 2.4 billion enterprise value, the segment merely needs to avoid a margin collapse, surviving the current cyclical trough until government-funded deployment volumes accelerate.

FIXED NETWORKS FACT SHEET

DEFENSIVE_OR_DECLINING_CASH_FLOW

EBIT MARGIN

7.7%

IMPLIED EV/EBIT

14.2x

GROWTH CATALYST

BEAD Subsidies (US)

CURRENT STATUS

Post-pandemic contraction

CORE ANALYSIS · POOL DEEP DIVES

08

Smaller pools — grouped deep dives

Pools that don't warrant a full deep dive — a short fact strip each.

Portfolio Businesses

restructuring_or_disposal_asset — Status: Designated for disposal · EBIT Profile: Loss-making drag

Group Common & Other

mixed_or_unclear — Nature: Corporate overhead & Bell Labs · Efficiency Target: EUR 150m corporate run-rate

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

The 2026 group forecast is mechanically driven by two opposing forces: structural stagnation in legacy telecom spending and explosive growth in AI data center infrastructure. The baseline of EUR 20.8 billion in net sales is heavily supported by Mobile Infrastructure, which accounts for over 57% of group revenue. However, because hardware deployments are flat, revenue growth depends entirely on the Optical & IP Networks segment capturing market share from hyperscalers.

The EBIT forecast of EUR 2.37 billion depends heavily on Mobile Infrastructure profitability, particularly the high-margin patent licensing revenues embedded within it. The bridge shows that Optical & IP Networks, despite its massive enterprise value allocation, contributes less than a third of group operating profit. The bridge stumbles on its assumption that Nokia can simultaneously manage the decline in legacy radio hardware while flawlessly executing the complex manufacturing ramp for coherent optical pluggables.

For the forecast to hold, two milestones must be met. First, Mobile Infrastructure must execute its planned cost reductions so margin erosion does not mask the underlying IP licensing cash flows. Second, Optical & IP Networks must prove that the EUR 2.3 billion Infinera acquisition can deliver the projected hyperscaler volume growth without fatal supply chain bottlenecks in indium phosphide wafer fabrication.

BRIDGE MECHANICS

Group profitability relies on high-margin IP licensing masking legacy hardware stagnation, while the Optical unit scales to meet its massive valuation burden.

The allocation of enterprise value shows a sharp shift in how institutional investors perceive Nokia. Using a blended multiple framework, current group EBIT of EUR 2.37 billion would traditionally support an enterprise value of approximately EUR 35 billion to EUR 40 billion, assuming the historical 15x-17x telecom equipment multiple. However, the current EUR 74.7 billion enterprise value requires a completely different valuation approach, one that prices Optical & IP Networks purely on future optionality and rapid monetization of the generative AI networking supercycle.

The bridge from enterprise value to equity market capitalization is highly supportive. Because Nokia holds a net cash position of EUR 1.5 billion, equity value exceeds enterprise value, providing a modest balance sheet buffer. This strong capital position allows management to sustain a 2.1% dividend yield and execute share buybacks, even as the company funds heavy R&D for silicon photonics and 6G. The underlying current economics—resilient IP licensing cash flow and a net cash balance sheet—mean the company faces no imminent funding stress.

However, the valuation assumptions driving the Optical & IP Networks allocation are extremely fragile. Under this framework, nearly half of the company's enterprise value rests not on current cash flows but on the assumption that Nokia will command long-term pricing power against some of the most sophisticated technology buyers in the world. This implies that Nokia's vertically integrated optical DSPs will remain vastly superior to merchant silicon alternatives over the next five years.

The valuation holds if Nokia can replicate Arista's or Ciena's high-margin growth trajectories inside data centers, shifting its financial profile from low-margin industrial hardware vendor to high-margin digital infrastructure provider. The valuation will fail violently if hyperscalers view Nokia's coherent pluggables as interchangeable commodities, or if the traditional radio business deteriorates faster than the IP licensing arm can offset.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

The scenarios diverge entirely based on execution and the multiple assigned to Optical & IP Networks. Mobile Infrastructure is assumed to remain relatively stable across scenarios, valued at its baseline maturity multiple. That leaves the AI datacenter interconnect thesis as the sole variable driving major valuation swings.

The downside scenario depends on Nokia failing to capture structural market share inside hyperscaler data centers. If supply chain constraints in optical manufacturing stall revenue growth, or if competitors like Ciena and Arista out-innovate Nokia's newly combined Infinera portfolio, the market will rapidly strip the AI premium from Nokia's stock. In that case, the Optical & IP segment multiple compresses from an aggressive 49x to a standard 20x hardware multiple, causing severe equity value contraction.

Upside depends on Nokia flawlessly executing the Infinera integration and achieving massive scale in 800G and 1.6T coherent pluggables. If Nokia can drive Optical & IP Networks EBIT toward EUR 2.0 billion while expanding gross margins to 45%, the segment would command a EUR 50 billion valuation even on a compressed terminal multiple. Since debt and senior claims are securely covered by existing cash reserves, any enterprise value expansion flows directly to equity holders.

BOTTOM LINE

The central investment debate for Nokia is whether it can successfully transcend its legacy as a cyclical telecom equipment vendor and establish itself permanently as a primary infrastructure provider for the generative AI data center buildout. The current EUR 74.7 billion enterprise value makes clear that the market has already credited the company with making this transition. With a group P/E ratio above 43x, the stock is priced for execution perfection, driven almost entirely by the growth expectations embedded in the Optical & IP Networks segment.

FINANCIAL BRIDGE · PART 1

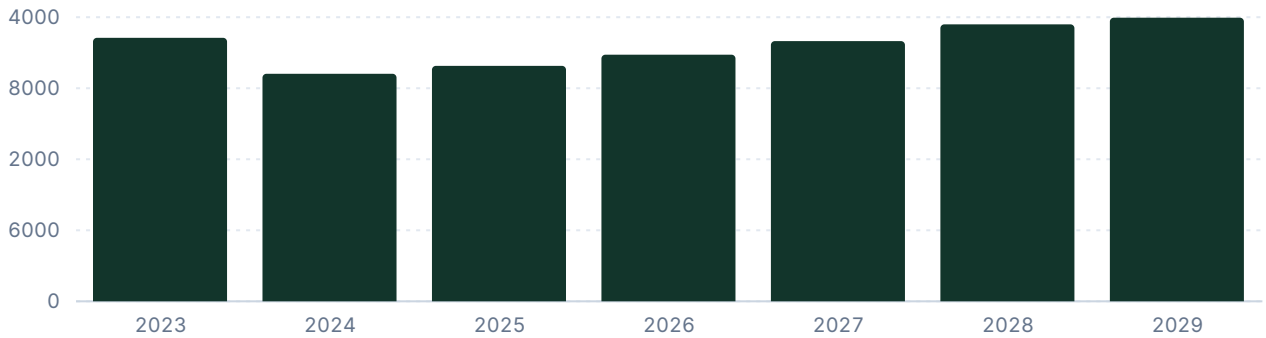
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Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

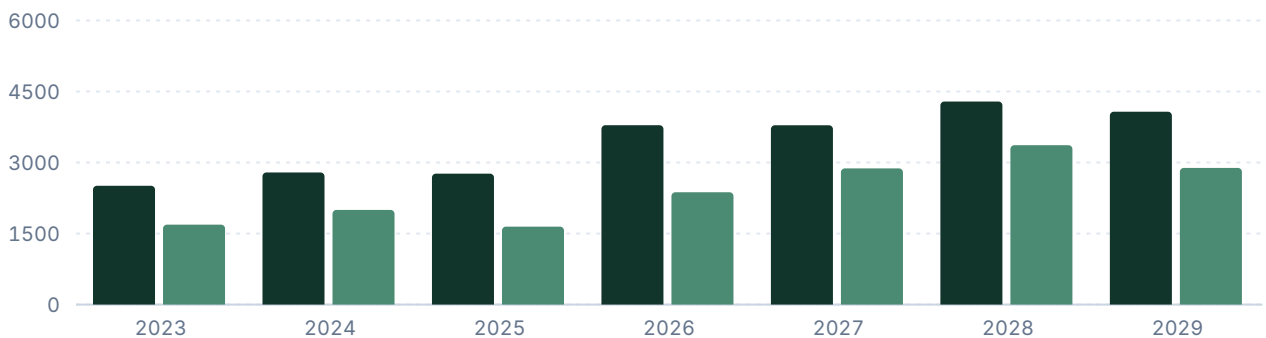
EUR millions



EBITDA & EBIT

EUR millions

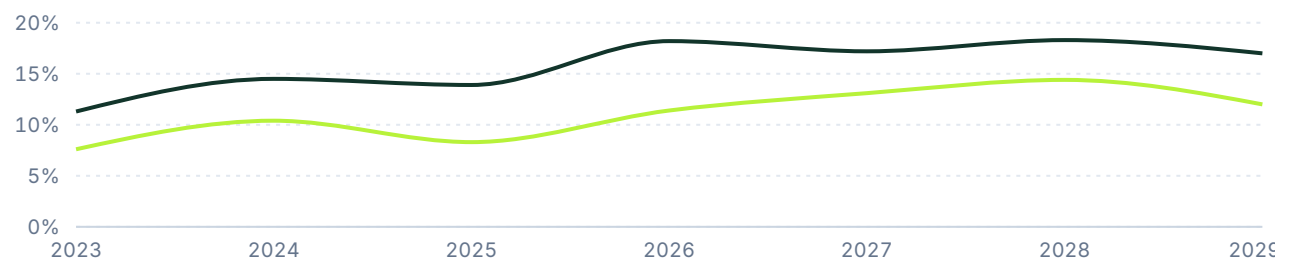
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

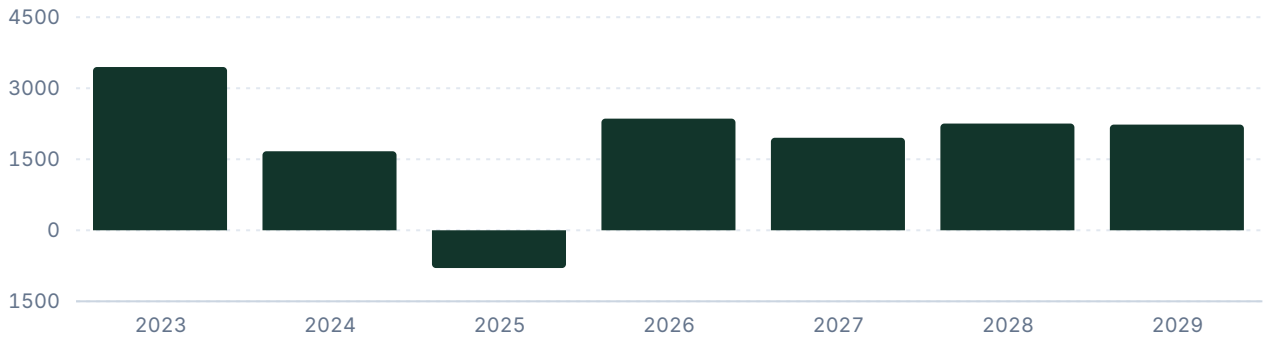
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Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

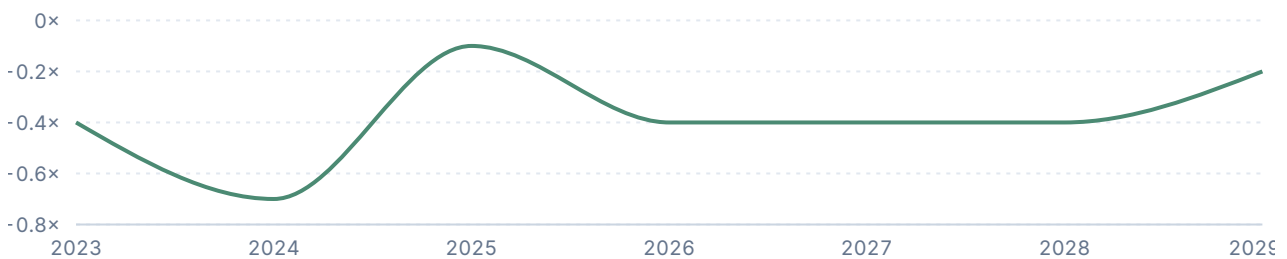
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	19,889	20,833	21,981	23,396	23,958
EBITDA	2,765	3,788	3,787	4,288	4,073
Comparable EBIT	1,646	2,372	2,876	3,366	2,886
Net Earnings	638	1,690	2,175	2,589	1,994
EPS (EUR)	0.1	0.3	0.4	0.5	0.4
DPS (EUR)	0.1	0.3	0.4	0.4	0.3

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES	
	2026
P/E	43.6×
EV/EBITDA	19.7×
EV/EBIT	31.5×
P/FCF	31.2×
P/BV	3.5×
Dividend Yield	2.1%
Net Debt / EBITDA	-0.4×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV/EBITDA →	15.0×	17.0×	19.7×	22.0×	25.0×
-20% EUR 3,030m	EUR 45,450m EUR 8.20 / sh	EUR 51,510m EUR 9.30 / sh	EUR 59,782m EUR 10.80 / sh	EUR 66,660m EUR 12.00 / sh	EUR 75,750m EUR 13.60 / sh
-10% EUR 3,409m	EUR 51,135m EUR 9.20 / sh	EUR 57,953m EUR 10.40 / sh	EUR 67,260m EUR 12.10 / sh	EUR 74,998m EUR 13.50 / sh	EUR 85,225m EUR 15.30 / sh
Base EUR 3,788m	EUR 56,820m EUR 10.20 / sh	EUR 64,396m EUR 11.60 / sh	EUR 74,737m EUR 13.40 / sh	EUR 83,336m EUR 15.00 / sh	EUR 94,700m EUR 17.00 / sh
+10% EUR 4,167m	EUR 62,505m EUR 11.20 / sh	EUR 70,839m EUR 12.70 / sh	EUR 82,215m EUR 14.80 / sh	EUR 91,674m EUR 16.50 / sh	EUR 104,175m EUR 18.70 / sh
+20% EUR 4,546m	EUR 68,190m EUR 12.30 / sh	EUR 77,282m EUR 13.90 / sh	EUR 89,693m EUR 16.10 / sh	EUR 100,012m EUR 18.00 / sh	EUR 113,650m EUR 20.40 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	20,833	3,800	18.2%	14.3×	54,340	54,592	EUR 9.78	-29.6%
Base	20,833	3,788	18.2%	19.7×	74,737	74,989	EUR 13.43	-3.3%
Bull	23,500	5,000	21.0%	17.8×	89,000	89,252	EUR 15.99	+15.1%

KEY CONDITIONS

The scenarios diverge primarily based on the execution profile of the Optical & IP Networks segment. The upside relies on flawless execution capturing massive data center volumes; the downside reflects a violent de-rating if hyperscalers reject proprietary DSPs or supply chains stall.

THESIS BREAKER

Flawless execution in scaling 800G shipments to US hyperscalers without sacrificing gross margins to merchant silicon.

CATALYSTS

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Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER				
	TIMING	POOL	INDICATOR	VALUATION IMPACT
Hyperscaler Capex Announcements	NEAR-TERM	Optical & IP Networks	Continued growth >20% y-o-y in AI infrastructure	Validates the TAM expansion supporting O&IP valuation
800G Coherent Pluggable Shipments	MEDIUM-TERM	Optical & IP Networks	Material volume confirmation inside US hyperscalers	Proves Infinera integration and competitive access
Smartphone Patent Renewals	NEAR-TERM	Mobile Infrastructure	No material price degradation in IP royalties	Secures the high-margin baseline cash flow
Indium Phosphide Fab Capacity	MEDIUM-TERM	Optical & IP Networks	Resolution of wafer bottlenecks	Allows O&IP revenue growth to accelerate unconstrained

READ - THROUGH

The most critical catalyst for the investment thesis is confirmation of 800G coherent pluggable shipment volumes into US hyperscalers. Overall hyperscaler capex announcements are the easiest to track, but they are a blunt instrument; massive spending by Alphabet or Microsoft does not automatically translate into Nokia revenue if those hyperscalers choose Arista or Ciena for their networking fabric. Specific deployment announcements are therefore paramount. The catalyst most likely to be misunderstood is the smartphone patent renewal cycle. Because it is buried inside the Mobile Infrastructure segment, poor hardware sales can easily mask the steady cash generation of the licensing arm. If investors misinterpret a cyclical hardware trough as a failure of the entire segment, they may miss the underlying stability of group cash flow.

RISKS

Risk register

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Each risk's pool, mechanism, early - warning trigger, impact band and structural type.

RISK REGISTER					
	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Hyperscaler Multi-sourcing Commoditization	Optical & IP Networks	Hyperscalers shift toward open architectures, bypassing Nokia's proprietary DSPs.	Gross margin compression in optical components	HIGH	THESIS-
Indium Phosphide Supply Chain Constraints	Optical & IP Networks	Internal fabrication capacity fails to scale with hyperscaler demand.	Stalled sequential revenue growth despite high backlog	MEDIUM	MANAGEA
RAN Market Share Loss to Ericsson	Mobile Infrastructure	Pricing aggression from Ericsson leads to loss of key Western contracts.	Loss of Tier-1 telecom replacement contracts in Europe	MEDIUM	STRUCTU
Patent Licensing Pricing Pressure	Mobile Infrastructure	Smartphone OEMs successfully litigate lower royalty rates globally.	Extended litigation with major smartphone OEMs	HIGH	STRUCTU

READ - THROUGH

The most thesis-breaking risk is the potential commoditization of high-speed optical components. Hyperscalers have immense bargaining power and actively work to standardize networking hardware to prevent vendor lock-in. If the industry shifts toward fully open architectures that bypass Nokia's proprietary DSPs, the 49x EBIT multiple assigned to the Optical segment will collapse as margins compress to industrial averages. This risk is heavily underappreciated by a market currently infatuated with AI infrastructure demand. The risk of a stagnant telecom hardware cycle is already fully priced into the Mobile Infrastructure segment's modest 21x valuation. The risk to the patent licensing arm, however, is not. If major Chinese or US smartphone manufacturers successfully litigate to lower royalty rates, the company's highest-margin profit engine will be impaired, drastically reducing group free cash flow. These risks interact directly: Nokia relies on the cash flows from its patent licensing and legacy RAN business to fund the massive R&D required to compete in the data center.

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
Net Sales	22,258	19,220	19,889	20,833	21,981	23,396
EBITDA	2,509	2,790	2,765	3,788	3,787	4,288
EBITDA margin	11.3%	14.5%	13.9%	18.2%	17.2%	18.3%
Depreciation	-821	-791	-1,119	-1,416	-911	-922
Operating Profit (EBIT)	1,688	1,999	1,646	2,372	2,876	3,366
EBIT margin	7.6%	10.4%	8.3%	11.4%	13.1%	14.4%
Net financial items	-189	92	-731	-355	-355	-365
Pre-tax Profit	1,499	2,091	915	2,017	2,521	3,001
Net Earnings	679	1,284	638	1,690	2,175	2,589
PER SHARE						
EPS	0.1	0.2	0.1	0.3	0.4	0.5
DPS	0.1	0.1	0.1	0.3	0.4	0.4
Payout ratio	89.9%	55.4%	118.8%	93.5%	93.5%	93.5%

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
ASSETS						
Tangible assets	2,857	2,120	2,490	2,500	2,637	2,807
Intangibles	1,086	802	1,399	1,465	1,546	1,646
Goodwill	5,504	5,736	5,996	5,996	5,996	5,996
Non-current assets	17,821	17,563	18,162	18,238	18,456	18,726
Inventories	2,719	2,163	2,209	2,325	2,453	2,611
Receivables	9,134	9,201	8,121	8,501	8,897	9,386
Cash & equivalents	6,234	6,623	5,462	6,231	6,575	6,998
Current assets	18,087	17,987	15,792	17,057	17,925	18,995
Total Assets	39,860	39,149	37,597	38,938	40,024	41,364
EQUITY & LIABILITIES						
Equity	20,628	20,747	21,058	21,962	22,557	23,113
Long-term debt	3,637	2,918	3,126	2,352	2,490	2,748
Short-term debt	554	969	1,287	2,352	2,490	2,748
Long-term liabilities	6,577	5,583	5,346	4,572	4,710	4,968
Current liabilities	10,933	11,394	10,004	12,011	12,365	12,890
Total liabilities & equity	39,860	39,149	37,597	38,938	40,024	41,364
CAPITAL STRUCTURE & RATIOS						
Net debt	-1,046	-1,873	-252	-1,527	-1,595	-1,501
Capital invested	18,585	18,011	20,009	20,435	20,962	21,612
Equity ratio	51.8%	53.0%	56.0%	56.4%	56.4%	55.9%
Gearing	-5.1%	-9.0%	-1.2%	-7.0%	-7.1%	-6.5%
Net debt / FRITDA	-0.4x	-0.7x	-0.1x	-0.4x	-0.4x	-0.4x

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
OPERATIONS						
CF from operations	2,909	2,434	1,076	3,553	2,777	3,131
Operating cash flow	3,422	2,904	1,366	3,850	3,084	3,446
Change in working capital	-779	-535	674	-447	309	381
INVESTING & FREE CASH						
Gross capex	-201	533	1,718	1,492	1,129	1,191
Capex (ex. M&A)	201	-533	-1,718	-1,492	-1,129	-1,191
Free Operating Cash Flow	3,443	2,096	-797	2,358	1,954	2,254
Free cash flow to firm	3,448	1,669	-797	2,358	1,954	2,254
FINANCING						
CF from financing	-1,988	-1,878	-312	-1,292	-1,305	-1,516
Dividends paid	-337	-610	-712	-758	-1,580	-2,033
Net change in cash	1,122	23	-954	769	343	423

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APPENDIX

Quarterly snapshot

LAST FOUR QUARTERS — EUR MILLIONS				
	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	4,390	4,546	4,833	6,125
EBITDA	216	366	721	721
EBITDA margin	4.9%	8.1%	14.9%	11.8%
Comparable EBIT	-48	81	435	437
EBIT margin	-1.1%	1.8%	9.0%	7.1%
Net Earnings	-60	96	323	534
EPS	-0	0	0.1	0.1

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
13.895 EUR	Current Quote	MARKET DATA	Cover Page & Recommendation
43.60x	2026E P/E Multiple	MODEL OUTPUT	Price-Derived Metrics & Valuation
19,220 EURm	2024 Net Sales	FINANCIAL SNAPSHOT	Historical Financials
2,372 EURm	2026E Group EBIT	ANALYST-GENERATED ESTIMATE	Core Analysis & Bridge
2,017 EURm	2026E Consensus Pre-Tax Profit	CONSENSUS ESTIMATES	Consensus Comparisons
35,500 EURm	Optical & IP Networks EV	COMPANY VALUE MAP	Stage 1 & Core Analysis
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